

26VECV00745 26VECV00745

County: los-angeles

Division: Civil Law and Motion

Department: W

Hearing date: 2026-07-28

Motion: DEFENDANT TOGGLE SERVICES, LLC'S DEMURRER TO PLAINTIFF'S COMPLAINT

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Case Number: 26VECV00745 Hearing Date: July 28, 2026 Dept: W

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

LA'ASIA R. STITH,

Plaintiff,

vs.

TOGGLE SERVICES, LLC; TOGGLE

INSURANCE SERVICES, LLC; UBER

TECHNOLOGIES, INC.; RASIER, LLC;

AIG SPECIALTY INSURANCE COMPANY; and DOES 1-50, inclusive

Defendants.

CASE NO: 26VECV00745

[TENTATIVE] ORDER RE:

DEFENDANT TOGGLE SERVICES, LLC'S DEMURRER TO PLAINTIFF'S

COMPLAINT

Dept. W

8:30 a.m.

July 28, 2026

[TENTATIVE] ORDER: The Court SUSTAINS Moving Defendant's Demurrer as to all four causes of action. The Court TENTATIVELY DENIES leave to amend.

Background

This is an unfair insurance claims settlement suit, arising out of a motor vehicle accident. Plaintiff in pro-per La'asia Stith is a driver for the app-based platform Uber Eats. Non-moving Defendants in this case are Uber Technologies, Inc., Raiser, LLC, an Uber subsidiary, and AIG Specialty Insurance Company, Uber's insurer. Moving Defendant in this case is Toggle Services, LLC, AIG's authorized third-party claims administrator.

Plaintiff alleges that on December 31, 2025, while making an Uber Eats delivery, another vehicle crashed into her car. Plaintiff's vehicle was severely damaged. Plaintiff alleges that her vehicle was fully insured via a policy distributed by Defendant AIG, and administered by Defendant Toggle Services. Plaintiff further alleges that she filed an insurance claim in early January, 2026, but that Defendants did not issue a formal assessment of the claim until January 30, 2026. Defendant explains that they needed a swift resolution to this claim because their vehicle is also their primary residence. Ultimately, Defendants denied Plaintiff's claim.

On February 5, 2026, Plaintiff filed suit against Defendants alleging four causes of action: 1) breach of implied covenant of good faith and fair dealings, 2) negligence, 3) unfair business practices, and 4) declaratory relief.

Now, Moving Defendant demurs to all four causes of action.

Meet and Confer

Before filing a demurrer, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. (CCP § 430.41(a).) A declaration must be filed with a demurrer regarding the results of the meet and confer process. (CCP § 430.41(a)(3).)

Here, Moving Defendant provides the declaration of James Lemieux, who states that on March 26, 2026, he sent Plaintiff a meet and confer letter addressing the issues raised in this filing. (Lemieux Decl. ¶ 2.) Mr. Lemieux states that the parties were unable to settle this dispute out of court.

Generally, the Court does not find meet and confer efforts that do not involve a phone call or an in-person meeting satisfy these requirements. However, given the facts of this motion, the Court opts to hear this motion on the merits.

Discussion

Moving Defendant demurs to all four causes of action in this case, arguing that Plaintiff fails to allege facts sufficient to support any of these claims, as to Moving Defendant Toggle Services, LLC. (Demurrer, p. 2:1-10.)

A demurrer tests the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (CCP §§ 422.10, 589; see, *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of the ruling on the demurrer, all facts pled in the complaint are assumed to be true. (Id. at 994.)

i) Cause of Action 1: Breach of Covenant of Good Faith and Fair Dealings

First, Moving Defendant demurs to this first cause of action, arguing that Plaintiff cannot support this claim because Moving Defendant was not a party to any contract. (Demurrer, p. 5:3-28.)

The elements of a cause of action for breach of the implied covenant of good faith and fair dealing are: 1) a contractual relationship; 2) a duty of good faith and fair dealing arising from the contract; 3) conduct that unfairly frustrates the plaintiff's right to receive the benefits of the agreement; and 4) resulting damages. (*Smith v. City & Cnty. of San Francisco* (1990) 225 Cal.App.3d 38, 49.)

Moving Defendant argues that Plaintiff has failed to allege that they are in a contractual relationship with Plaintiff. (Demurrer, p. 5:12-13.) Instead, Plaintiff has alleged that non-moving Defendant, AIG, issued Plaintiff her insurance. (Compl. ¶ 20.) Moving Defendant, meanwhile, is alleged to be a licensed third-party administrator. (Compl. ¶ 12.) Thus, it is unclear from Plaintiff's Complaint how they satisfy the first element of this claim as to Moving Defendant.

In Opposition, Plaintiff appears to concede the fact that there is no contractual relationship between the parties. (Opp. p. 5:10-13.)

Given that Plaintiff has failed to allege an essential element of this claim, as to Moving Defendant, the Court SUSTAINS this demurrer as to the first cause of action.

ii) Cause of Action 2: Negligence

Second, Moving Defendant demurs to Plaintiff's negligence claim, arguing that Plaintiff has failed to allege the element of duty. (Demurrer, p. 6:13-20.)

The essential elements of a cause of action for negligence are: 1) duty; (2) breach; (3) injury to the plaintiff; and (4) damage to the plaintiff. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 141.)

As mentioned above, Plaintiff has alleged that Moving Defendant is AIG's licensed third-party administrator. (Compl. ¶ 12.) Under California case law, an independent adjuster hired by an insurer owes no duty of care to a claimant who they have no contract with. (*Sanchez v. Lindsey Morden Claims Services, Inc.* (1999) 72 Cal. App. 4th 249, 250-251.) Here, Plaintiff has failed to allege a contractual relationship with Moving Defendant. Thus, Plaintiff cannot establish the first element of their negligence claim as a matter of law.

For these reasons, the Court SUSTAINS the demurrer as to the second cause of action.

iii) Cause of Action 3: Unfair Business Practices

Next, Moving Defendant demurs to the third cause of action for unfair business practices. (Demurrer, p. 6:23-27.)

The elements of a cause of action for unfair business practices are: 1) defendant engaged in unlawful, unfair or fraudulent business acts or practices, or unfair, deceptive, untrue or misleading advertising; 2) plaintiff's entitlement to restitution and/or injunctive relief. (BPC §§ 17200 & 17203.)

Here, Plaintiff alleges that Moving Defendant's unfair practices arise from their "unfair claims settlement practices as defined by Insurance Code § 790.03(h)." (Compl. ¶ 41.) As explained above, Moving Defendant is not alleged to be in a contract with Plaintiff, and does not owe Plaintiff a duty as a matter of law. Thus, as alleged, Moving Defendant cannot have engaged in unfair claims practices as a matter of law, as they are simply an independent adjuster working for Plaintiff's actual insurer, AIG.

For these reasons, the Court SUSTAINS the demurrer as to the third cause of action.

iv) Cause of Action 4: Declaratory Relief

Finally, Moving Defendant demurs to the fourth cause of action – a request for declaratory relief. (Demurrer, p. 7:16-26.)

Specifically, Plaintiff requests, "a judicial declaration clarifying Defendants' duties owed to me under the insurance program and governing California law." (Compl. ¶ 44.) Here, Plaintiff has only alleged that Moving Defendant is a "licensed third-party administrator" and "authorized claims administrator" for Plaintiff's insurer AIG. (Compl. ¶ 12.) As explained above, this means that Moving Defendant has no underlying duties to Plaintiff, per Sanchez. Thus, based on Plaintiff's own pleadings, this cause of action fails.

Moreover, under California law, a claim for declaratory relief cannot exist in the absence of a valid underlying claim. (*City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 80.) Here, the Court has sustained this demurrer as to all other claims brought against Moving Defendant. Thus, Plaintiff does not have a valid underlying claim, meaning the claim for declaratory relief fails as well.

For these reasons, the Court SUSTAINS the demurrer as to the fourth cause of action.

v) Leave to Amend

Next, the Court must determine whether leave to amend is appropriate as to claims two and six for aiding and abetting breach of fiduciary duty, and violations of CORP § 25504.1, respectively. "Although leave to amend is to be liberally granted, it is not error to deny leave to amend when there is no 'reasonable possibility' that the plaintiff can state a cause of action." (*Tola v. Bryant* (2022) 76 Cal.App.5th 746, 755 [citing *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 967].) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.)

Here, the Court's tentative ruling is to deny leave to amend. The burden rests with Plaintiff to establish that a pleading can be amended to state a valid cause of action. Here, the Court has found that all of Plaintiff's claims are barred against Moving Defendant as a matter of law. Thus, it is unclear how new, non-contradictory allegations might salvage Plaintiff's claims against this third-party claims administrator.

In Plaintiff's Opposition, she repeatedly requests leave to amend. (Opp. p. 5:23-25; see also, p. 7:1-4.) However, Plaintiff does not elaborate as to any specific facts she has that will allow her to bring a cause of action against Moving Defendant. For instance, Plaintiff asserts that, "I can amend to more specifically allege Toggle's direct undertaking of claim handling functions, direct communications of claim positions, direct handling of valuation and settlement communications, direct transmission of unsupported or incomplete denial positions, and direct conduct causing foreseeable harm after notice that the vehicle was my domicile and I was displaced." (Id. p. 6:6-10.) None of these facts are inconsistent with Moving Defendant's alleged role as a claims administrator. Thus, it is unclear what these facts add that would allow Plaintiff to salvage her claims.

For these reasons, the Court's tentative ruling is to deny leave to amend. However, the Court will reserve its ruling on this issue for after the hearing on the matter.

Conclusion

The Court SUSTAINS Moving Defendant's Demurrer as to all four causes of action. The Court TENTATIVELY DENIES leave to amend.

IT IS SO ORDERED, Moving Defendant TO GIVE NOTICE.

July 28, 2026

Judge of the Superior Court